

EQUITY RESEARCH · COMPANY DEEP DIVE

Alphabet Inc. (GOOGL.US)

Communication Services · Internet Content & Information

Large Cap (>\$200B) · Report Date: June 28, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-06-28

HOLD

Composite · Valuation: UNDERWEIGHT

Target \$306.26 · -9.2% upside

Price \$337.39

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$306.26 (-9.2% vs \$337.39); Comps 100% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	UNDERWEIGHT	Blended PT \$306.26	45%
FSA	Strong	Health +0.40	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.50 · 12m +95%	15%
Composite	HOLD	Score +0.05 · 75% confluence	—

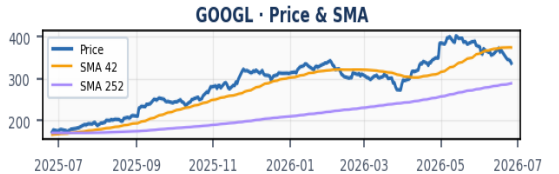
Valuation rich but trend improving — wait for confirmation; solid financial statement profile.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Alphabet Inc. (GOOGL) — Communication Services. Alphabet Inc. offers various products and platforms in the United States, Europe, the Middle East, Africa, the Asia-Pacific, Canada, and Latin America. It... **UNDERWEIGHT** rating; blended target \$306.26. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & PRICE TREND

Item	Value	Item	Value
Market Cap	\$4.12T	Shares Out.	5867.2M
52-Week Range	\$172.77 – \$408.61	P/E (TTM)	25.7x
P/B	8.5x	Beta	1.24
Avg Volume	31.76M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$422.50B	Rev Growth	+21.8%
Op. Margin	36.1%	FCF (TTM)	\$73.27B
Gross Margin	60.4%	ROE	38.9%
EV/EBITDA	25.1x	Debt/Equity	20.0%



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	350,018	402,836	490,654	569,208	637,268
Revenue Growth (%)	N/A	15.1%	21.8%	16.0%	12.0%
Net Income (\$M)	100,118	132,170	160,983	186,756	209,087
Net Income Growth (%)	N/A	32.0%	21.8%	16.0%	12.0%
Gross Margin (%)	58.2%	59.7%	60.4%	60.4%	60.4%
Net Margin (%)	28.6%	32.8%	32.8%	32.8%	32.8%
ROE (%)	30.8%	31.8%	38.8%	40.8%	43.5%
EPS (\$)	17.06	22.53	27.44	31.83	35.64
Book Value / Share (\$)	55.41	70.78	70.78	78.03	81.93
P/E (x)	19.77	14.98	12.30	10.60	9.47
P/B (x)	6.09	4.77	4.77	4.32	4.12
Dividend Yield (%)	26.0%	26.0%	26.0%	26.0%	26.0%

FINANCIAL STATEMENT ANALYSIS

Financial statement profile: Strong (score +0.40). Strengths: Revenue CAGR 12.5% (3Y); Current ratio 2.01x; Conservative balance sheet. Risks: Operating margin deteriorating. 3Y projection: ~17.2% revenue growth; Y3 revenue \$679.39B.

Metric	Value	Assessment
FSA Health Score	+0.40	Strong
Revenue CAGR (3Y)	12.5%	
Net Income CAGR (3Y)	30.1%	
Gross Margin Trend	Deteriorating	
Operating Margin Trend	Deteriorating	
Current Ratio	2.01x	Liquidity
Debt / Equity	20%	Leverage
ROE	38.9%	Profitability
FCF / Net Income	0.55x	Earnings quality
Proj. Revenue (Y1 / Y3)	\$494.98B / \$679.39B	@17.2%
Proj. Net Income (Y1 / Y3)	\$141.25B / \$193.87B	Margin × (1–tax)

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$374.69	Short-term trend	12m Momentum	+95.0%	
SMA (252d)	\$289.27	Long-term trend	3m Momentum	+23.1%	
RSI (14d)	29.4	Momentum oscillator	Ann. Volatility	31.5%	
Trend	Bullish		Sharpe Ratio	0.60	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-44.3%	
Death Cross (20d)	No		Rel. Strength vs SPY	+95.3%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; RSI 29 — oversold zone	Quant Score	+0.50	POSITIVE
			SMA Backtest (ann.)	28.3%	B&H; 31.1%

INDUSTRY CONTEXT

Industry Snapshot — Communication Services / Internet Content & Information. Alphabet Inc. offers various products and platforms in the United States, Europe, the Middle East, Africa, the Asia-Pacific, Canada, and Latin America. It operates through Google Services, Google Cloud, and Other Bets segments. The Google Services segment provides products and services, including ads, Android, Chrome, devices, Gmail, Google Drive, Google Maps, Google...
Trends: Strong top-line growth (21.8% YoY); High operating leverage (36.1% margin); Above-market volatility (β=1.24)
Risks: Standard sector cyclicality and macro exposure

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$258.06	-23.5%	—	Not in blend
Profile template weights	—	—	—	High-growth technology (Comps-anchored; DCF excluded when distorted): Comps 85%, Analyst 15%
Comps — 52-week range anchor	\$306.26	-9.2%	—	Tri-mean of 52w high, low, and current (large cap)
Comps — EV/EBITDA (peer median)	\$364.35	+8.0%	—	Peer median 12.0x
Comps — P/S (peer median)	\$297.46	-11.8%	—	Peer median P/S 4.1x
Comps — Blended (median of multiples + uplift anchors)	\$306.26	-9.2%	100%	Included in blend
Analyst consensus (Yahoo Finance)	\$432.83	+28.3%	0% (excluded)	Analyst consensus lags / diverges >35% from comps
Blended target (weighted)	\$306.26	-9.2%	100%	Comps 100%

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	10.80%
Terminal g	4.00%
FCFE growth	10.00%
Base FCFE	\$73.27B
PV explicit (5Y)	\$377.30B
PV terminal	\$1.14T
Equity value (adj.)	\$1.51T
Implied price	\$258.06
vs. current	-23.5%

INDUSTRY & COMPETITIVE LANDSCAPE

Industry Overview

Alphabet Inc. offers various products and platforms in the United States, Europe, the Middle East, Africa, the Asia-Pacific, Canada, and Latin America. It operates through Google Services, Google Cloud, and Other Bets segments. The Google Services segment provides products...

Key Trends

- Strong top-line growth (21.8% YoY)
- High operating leverage (36.1% margin)
- Above-market volatility (β=1.24)
- Sector: Communication Services | Industry: Internet Content & Information

Risk Factors

- Standard sector cyclicalty and macro exposure

PEER COMPARISON

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
META	Meta Platforms, Inc.	\$1.40T	20.0x	12.8x	32.8%	+33.1%
NFLX	Netflix, Inc.	\$310.80B	23.8x	22.1x	28.5%	+16.2%
DIS	Walt Disney Company (T	\$171.55B	15.8x	11.1x	11.5%	+6.5%
SNAP	Snap Inc.	\$7.31B	N/A	-35.9x	-6.7%	+12.1%
GOOGL*	Alphabet Inc.	\$4.12T	25.7x	25.1x	37.9%	+21.8%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.